

Member ID: _____

Time: _____

Rank: _____



ADVANCED COLLEGE ACCOUNTING (115)

NATIONAL 2022

CONCEPT KNOWLEDGE:

Multiple Choice (10 @ 2 points each) _____ (20 points)

APPLICATION KNOWLEDGE:

Short Answer _____ (48 points)

Problem 1: Statement of Cash Flows _____ (88 points)

Problem 2: Bonds _____ (80 points)

TOTAL POINTS _____ ***(236 points)***

Test Time: 90 minutes

GENERAL GUIDELINES:

Failure to adhere to any of the following rules will result in disqualification:

1. Member must hand in this test booklet and all printouts if any. Failure to do so will result in disqualification.
2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests (handwritten, photocopied, or keyed) are allowed in the testing area.
3. Electronic devices will be monitored according to ACT standards.

EXAM GUIDELINES:

You have been hired as a Financial Assistant and will be keeping the accounting records for Digital Solutions, located at 700 Morse Road, Suite 201, Columbus, Ohio 43214. Digital Solutions provides accounting and other financial services for clients. You will complete jobs for Digital Solutions' own accounting records, as well as for clients.

You will have 90 minutes to complete your work. The test is divided into two parts: concept knowledge and application knowledge.

Your name and/or school name should *not* appear on any work you submit for grading. Write your Member ID in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

- Round all calculations to two decimal places at the final step.
- Round all percentages to one decimal place.
- Use 360 days for interest calculations.

MULTIPLE CHOICE

Select the letter that *best* answers the question or statement.

1. In order for debt investments to be classified as held-to-maturity securities, the company must have _____ to hold an investment to its maturity.
 - a. intent
 - b. elected
 - c. ability
 - d. both intent and ability
2. The unrealized holding gain or loss on trading securities is reported in _____.
 - a. net income
 - b. other comprehensive income
 - c. balance sheet
 - d. not reported because the gain or loss is unrealized
3. If bonds are issued at a discount, it means that the _____.
 - a. financial strength of the issuer is suspect
 - b. market interest rate is higher than the contractual interest rate
 - c. market interest rate is lower than the contractual interest rate
 - d. bondholder will receive effectively less interest than the contractual rate of interest
4. Treasury Stock is a(n) _____ account.
 - a. Contra Asset
 - b. Retained Earnings
 - c. Liability
 - d. Contra Equity
5. Hulk Co. owes \$20,000 on a truck purchased for use in the business. Hulk makes principal payments of \$5,000 each year plus interest at 8%. After the first payment is made, which of the following is true?
 - a. \$15,000 would be shown as a current liability.
 - b. \$15,000 would be shown as a long-term liability.
 - c. \$5,000 would be shown as the current portion due on the long-term note.
 - d. \$5,000 will appear as a long-term liability on the balance sheet.

6. The balance in Retained Earnings on December 31, 2021, was \$85,000 (credit). The following activity took place during 2022.

Foreign currency translation gain	\$15,000
Dividends declared	20,000
Dividends paid	8,000
Purchase of treasury stock	18,000

The balance in Retained Earnings on December 31, 2022, was \$140,000 (credit). What was net income for the year ended December 31, 2022?

- a. \$48,000
 - b. \$60,000
 - c. \$75,000
 - d. \$63,000
7. Which of the following events would improve (increase) a company's return on equity? *(Assume all else remains the same.)*

- (1) Retirement of long-term debt with cash
- (2) Sale of common stock for cash
- (3) Reduction in operating expenses

- a. 1
 - b. 2
 - c. 3
 - d. All three would improve a company's return on equity
8. A company elects to provide a pro forma income statement in the MD&A section of its annual report. In the statement, losses related to significant disposals of obsolete equipment are omitted. Which of the following statements are correct?

- (1) The external auditor must express an opinion on the presentation of the pro forma information.
- (2) The company must provide a reconciliation of the difference(s) between net income in the pro forma statement and GAAP net income in the Statement of Operations in a note to the financial statements.
- (3) The company must follow the "alternative financial measures" standards issued by the FASB in determining the pro forma net income amount.

- a. 1
- b. 2
- c. 3
- d. None are correct

9. If a bond is issued with detachable stock warrants, _____.
a. the entire bond price is allocated to the debt
b. a portion of the bond price is allocated to equity but only when the fair value of either the bonds or the stock warrants is known
c. a portion of the bond price is allocated to equity but only when the fair value of both the bonds and stock warrants is known
d. a portion of the bond price is allocated to equity
10. A bond that matures at regular intervals is a _____ bond.
a. term
b. serial
c. periodic
d. terminal

SHORT ANSWER

1. Black Widow Corp. recorded the following amounts for 2020.

- Research and development costs, \$50,000
- Patent, acquired on January 1, 2020 with a ten-year useful life, \$45,000
- Goodwill from purchase of another company, \$125,000
- Legal fees paid on December 31, 2020 to register an internally-developed patent with a 15-year useful life, \$7,000

a) What amount will be reported on Black Widow's December 31, 2020 balance sheet?

b) What amount will be reported on Black Widow's income statement ending December 31, 2020?

2. Iron Man Corp. acquired all noncash assets and assumed all liabilities of Stark Inc. at a cash purchase price of \$2,400,000. Iron Man determined that the fair value of the assets acquired is \$3,500,000, and the fair value of the liabilities is \$1,700,000. What amount of goodwill will Iron Man record upon the purchase?

3. Vision Corp. reported the following amounts this past year.

- Revenues \$250,000
- Expenses \$130,000
- Unrealized holding gain on TS investments, \$12,000
- Unrealized holding loss on sale of AFS debt investments, \$15,000
- Unrealized holding loss on currently held equity securities, \$9,000

a) Ignoring income taxes, calculate net income _____

b) Ignoring income taxes, calculate comprehensive income _____

4. Thor Inc. exchanged equipment with a fair value of \$20,000 for used equipment with no determinable fair value. Thor's equipment originally cost \$200,000 and accumulated depreciation of \$175,000. This transaction lacks commercial substance.

a) At what amount will Thor record the new equipment? _____

b) Will a gain or loss be recorded on this transaction, and if so how much? Be sure to give the amount *AND* indicate whether it is a gain or a loss!

5. Ant-Man Corp. is in its first year of operations and it reported the following amounts.

Item	Dec 31, 2021
Common Stock	\$146,250
Other Comprehensive Income	16,250
Dividends Declared and Paid	14,625
Net Income	58,500

Compute the total amount of stockholders' equity as of December 31, 2020.

6. Financial information for Starlord Corp. for the fiscal year ended January 30, 2022, follows (in millions).

Sales	\$332,033
Profit Margin	4.011%
Asset Turnover	1.993
Financial Leverage	3.323

Compute the following amounts. Round amounts to the nearest dollar.

- a. Net income _____
- b. Average total assets _____

7. Rocket Company issued 50 shares of its own \$1 par common stock in exchange for equipment. The stock was actively traded for \$110 a share, and the company's management estimates that the equipment has a fair value at the date of acquisition of approximately \$5,720. Prepare the journal entry to record the purchase.

PROBLEM 1 (88 points)

Captain America Company has the following selected data from its annual period ended December 31, 2021.

Selected Data	Amount
Paid cash dividend	\$4,000
Purchase of equipment	24,000
Increase in merchandise inventory	5,600
Borrowed on a long-term note	10,000
Increase in prepaid expenses	1,200
Decrease in accounts receivable	2,800
Payment of bonds payable in full	38,800
Increase in accounts payable	2,000
Cash from disposal of fixed assets (book value was \$4,200)	4,800
Decrease in rent receivable	800

Income Statement	
For the Year Ended December 31, 2021	
Sales revenue	\$160,000
Rent revenue	4,000
Costs of goods sold	76,000
Depreciation expense	8,000
Remaining expenses	<u>38,800</u>
Net income	<u>\$ 41,200</u>

Prepare a statement of cash flows for the Captain America Company for the year ended December 31, 2021, using the indirect method to report cash flows from operating activities. The beginning-year cash balance was \$24,800.

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[illegible]

PROBLEM 2 (80 points)

On January 1, 2022, Hawkeye Unlimited issues 8%, 10-year bonds payable with a face value of \$240,000. The market rate is 10%, and the bonds pay interest on June 30 and December 31.
Round all answers to the nearest whole number.

Requirements:

1) Is the bond issued at Face Value, Discount, or Premium? _____

2) Journalize the issuance of the bond.

3) What will be the carrying value on the balance sheet at issuance? _____

4) Journalize the semi-annual interest payment on June 30, 2022.

5) Journalize the semi-annual interest payment on December 31, 2022.

6) What will be the carrying value on the balance sheet immediately after the last interest payment but before retirement?

7) Journalize the retirement of the bond at maturity.

8) What is the total cost of borrowing? _____